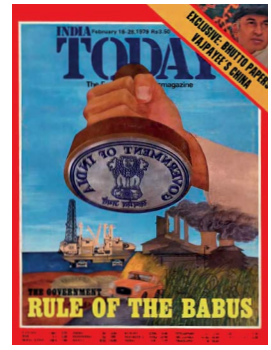
FROM THE

EDITOR-IN-CHIEF

I have long believed that one of the biggest obstacles to India's economic progress is the suffocating bureaucracy Indian entrepreneurs and even foreign investors have to endure. Now, the trade war started by President Donald Trump brings new urgency to India's push to become globally competitive. We are being compelled to open our markets to our largest trading partner, the United States. This shift will also disrupt existing patterns of global trade, with the world, especially China, looking for new markets.

The real challenge for Indian business is not the lack of capital, infrastructure or skills. It is the legacy of regulatory cholesterol that chokes Indian entrepreneurship. A study by TeamLease Services found that from launch to liquidation, Indian entrepreneurs must navigate a maze of more than 69,000 compliances, governed by 1,536 central and state laws and over 6,500 filings. Even more concerning, seven key sectors have 26,134 imprisonment clauses hidden in their rules. This is a system designed for arbitrary power and a breeding ground for corrupt practices. One industrialist even called it "economic terrorism".



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Many of these rules were originally created with good intentions to prevent illegality and protect public and environmental welfare. But in India, remedies often turn into full-blown disease. Consider labour laws. A business must comply with 32,542 requirements in this area alone, representing 47 per cent of the total. These demand 3,048 filings under 463 laws. Electricity permissions are just as tangled. Land is a state subject, but property transfer is in the concurrent list, where both the Centre and states can legislate. Environmental clearances must be secured from both central and state governments.

Each sector faces its own complex regulatory mess. An automotive company must get around 80 one-time approvals across four stages—setting up, pre-commissioning, post-commissioning and post-production. A single manufacturing unit must deal with 492 compliances across 173 central laws, 313 state laws and six municipal ones. And like khichdi, the national dish, the recipe varies from state to state. An entrepreneur in Maharashtra needs 99 permissions to start a manufacturing unit in the alcohol-beverages industry, 35 of which must be renewed regularly. Karnataka has 60 central and state labour laws, which mandate constant compliances—monthly, quarterly, half-yearly and annually. Each of these requires in-person visits to officials with a mountain of paperwork. On average, it takes more than a year for an Indian entrepreneur to get all clearances needed to start a business. In contrast, Vietnam—one of India's toughest competitors—gives industrial licences in under a month for locals, and within two months for foreigners. It uses a genuine single-window system for everything from power to pollution control. In India, our so-called single window often hides multiple doors.

Breaking down this compliance burden must be treated as a national economic emergency. Why? Manish Sabharwal, chairman and co-founder of TeamLease Services, shares some eye-opening numbers. Of India's 63 million enterprises, 12 million have no office and operate from homes. Only 29,000 companies in India have paid-up capital above Rs 10 crore. The reason, he says, is the crushing load of compliances. This burden raises costs, stifles innovation and weakens profits, especially for micro, small and medium enterprises (MSMEs). For businesses with turnover up to Rs 100 crore, the compliance cost can range from Rs 11-16 lakh per year. For fintech firms, it is far higher—Rs 96 lakh-Rs 1.17 crore for smaller firms, and Rs 2.5-3.2 crore for larger ones. No surprise, then, that 35,567 MSMEs registered on the Udyam portal shut down in FY25 (until February), many blaming regulatory hurdles. Foreign direct investment has also fallen, from $84.8 billion in FY22 to $70.95 billion in FY24.

Thankfully, the Modi government seems alert to these global shifts. The first signs came just 11 days after Trump returned to the White House, when the Economic Survey flagged deregulation in land, labour and capital as a national priority. Finance Minister Nirmala Sitharaman took the cue in the budget, setting up a committee to review all non-financial sector rules, certifications and permissions. A deregulation commission was also proposed. There is widespread agreement on this point: the compliance burden must go. Managing Editor M.G. Arun and Senior Associate Editor Sonal Khetarpal, along with our state bureaus, explore this in our cover story on how to end the compliance nightmare. Let's be clear: we are not against governance. Regulation is necessary. It ensures public trust and curbs unethical behaviour. But overregulation stifles the enterprising Indian. That must change.

We need systems that are efficient, fast and predictable. Sabharwal's advice to cure regulatory cholesterol is simple: rationalise, decriminalise and digitise. That's a great place to start. And there is no time to waste.



(Aroon Purie)